ZOMATO TIER-3 CITIES

Product Strategy Document

OKR Framework · Funnel Analysis · Cohort Retention Analysis

Platform

Android · Tier-3 Cities · India

Time Horizon

Annual OKR Cycle (FY 2025–26)

Strategic Focus

Engagement & Retention — Post-Delivery Habit Formation

North Star Metric

Weekly Transacting Users (WTU) in Tier-3 Cities

Key Constraints Addressed	Low smartphone/data literacy Thin restaurant supply Unreliable delivery partner availability

SECTION 01 — OKR Framework — Engagement & Retention

Objective (Annual)

Make Zomato the most trusted and habitual food companion for every kind of household in Tier-3 India — turning a first-time order into a lifelong ritual.

North Star Metric

Weekly Transacting Users (WTU) in Tier-3 Cities — captures engagement (weekly cadence) and retention (actual transaction, not just browsing). All KRs ladder up to this.

KR 1 — 25% → 42%

Improve M1 Retention (new users placing 2nd order within 30 days)

The window between Order 1 and Order 2 is where Zomato loses most Tier-3 users. No meaningful re-engagement, price shock, or a bad first delivery experience that was never addressed.

1.1 Vernacular Post-Delivery Habit Nudge Engine

Personalised push notifications in local language (Hindi, Bhojpuri, Marathi, Telugu) triggered by time-of-day, day-of-week patterns, weather, and local events — not generic blasts.

Input Metrics	Vernacular notification adoption rate · Send-time accuracy (% within ±30 min of predicted hunger window) · Language model coverage
Output Metrics	Notification-to-open rate · Notification-to-order rate · Time-to-second-order (median days)
North Star	M1 Retention Rate among new Tier-3 users

1.2 "Your Next Order" Post-Delivery Reward Hook

Time-bound, personalised offer surfaced on the delivery confirmation screen — e.g. ₹40 off within 5 days — calibrated to basket size, not a flat discount for everyone.

Input Metrics	Post-delivery offer impression rate · Personalisation coverage (basket-calibrated vs flat) · Offer expiry window A/B split
Output Metrics	Offer redemption rate · % placing 2nd order within offer window · Incremental revenue from redemption cohort
North Star	M1 Retention Rate among new Tier-3 users

1.3 Lite Mode — Simplified Re-Order Surface

Stripped-down homescreen for lapsed users: last ordered restaurant, single "Order Again" CTA, today's top deal. Reduces cognitive load for low-smartphone-literacy users.

Input Metrics	% lapsed users served Lite Mode · Screen load time on 2G/3G (target <2.5s) · Lite Mode eligibility coverage
Output Metrics	Session-to-order conversion (Lite Mode vs control) · D7/D14 re-engagement rate
North Star	M1 Retention Rate among new Tier-3 users

KR 2 **2.2 orders/MAU → 3.8 orders/MAU**	**Increase average monthly orders per MAU** *Converting occasional users into habitual ones. The gap between 2.2 and 3.8 represents the difference between "treat" behaviour and "routine" behaviour.*

2.1	**Zomato Daily — Affordable Meal Pass** *₹99–199/month subscription with 8 deliveries at flat ₹25 fee + 10–15% off. Shifts mental model from "splurge" to "already paid for."*

Input Metrics	Meal Pass adoption rate · % active users on Pass · Upsell touchpoints served (post-order, pre-checkout)
Output Metrics	Orders/month: Pass holders vs non-Pass · Churn rate of Pass subscribers · Gross margin per Pass user
North Star	Avg Monthly Orders per MAU

2.2	**Local Combo Deals (₹79–149 Price Band)** *Co-created "Tier-3 Value Menu" with partners — standardised combos priced to compete with home cooking, promoted as a dedicated shelf, not buried in restaurant menus.*

Input Metrics	Restaurants participating in Value Menu · % cities with ≥10 value SKUs live · Shelf impressions per session
Output Metrics	Value Menu shelf click-through rate · % orders via Value Menu · Avg order value for Value Menu cohort
North Star	Avg Monthly Orders per MAU

2.3	**Occasion & Moment-Based Discovery Feed** *"Friday Night Specials," "Sunday Brunch Near You" — powered by local event calendar + behavioural data. Replaces generic homepage.*

Input Metrics	% sessions with contextual feed shown · Local event signal coverage · Feed personalisation depth (# signals/recommendation)
Output Metrics	Homepage-to-cart conversion · Avg session depth (screens viewed before order) · Discovery-driven order rate (feed vs search)
North Star	Avg Monthly Orders per MAU

KR 3 — ~38% → <15%

Reduce zero/single-restaurant-result sessions

Zero-result sessions train a habit of NOT opening Zomato. Every zero-result session is a negative habit reinforcement.

3.1 Home Chef & Tiffin Service Onboarding Program

Formalise the vast informal tiffin economy onto Zomato. Lightweight onboarding: FSSAI support, photo-based menu creation (no typing), weekly UPI payouts.

Input Metrics	Home chef applications/city/month · Onboarding completion rate · Avg time-to-first-order for new home chef listings
Output Metrics	% Tier-3 cities with ≥5 home chef listings · % sessions with home chef in results · Home chef GMV as % of city GMV
North Star	Zero/Single-result Session Rate across Tier-3

3.2 City-by-City Supply Expansion Playbook

Dedicated Tier-3 onboarding squad with standardised city launch checklist — minimum viable catalogue: ≥25 unique cuisine options per city.

Input Metrics	Restaurants onboarded/city/quarter · % Tier-3 cities meeting min density · Onboarding cycle time (days to first order)
Output Metrics	Avg available restaurants/user/session · Catalogue completeness score · Restaurant 90-day activation rate
North Star	Zero/Single-result Session Rate across Tier-3

KR 4 — ~62% → 83%

Achieve on-time delivery rate within promised ETA ±10 minutes

In Tier-3, users don't complain — they just don't order again. A bad delivery is invisible in the data unless NPS and churn cohorts are tracked together.

4.1 Tier-3 Delivery Partner Reliability Program

Tier-based incentives: partners earn weekly bonuses on on-time rate, low cancellations, and customer rating — not just volume. Gamified leaderboard via lite app.

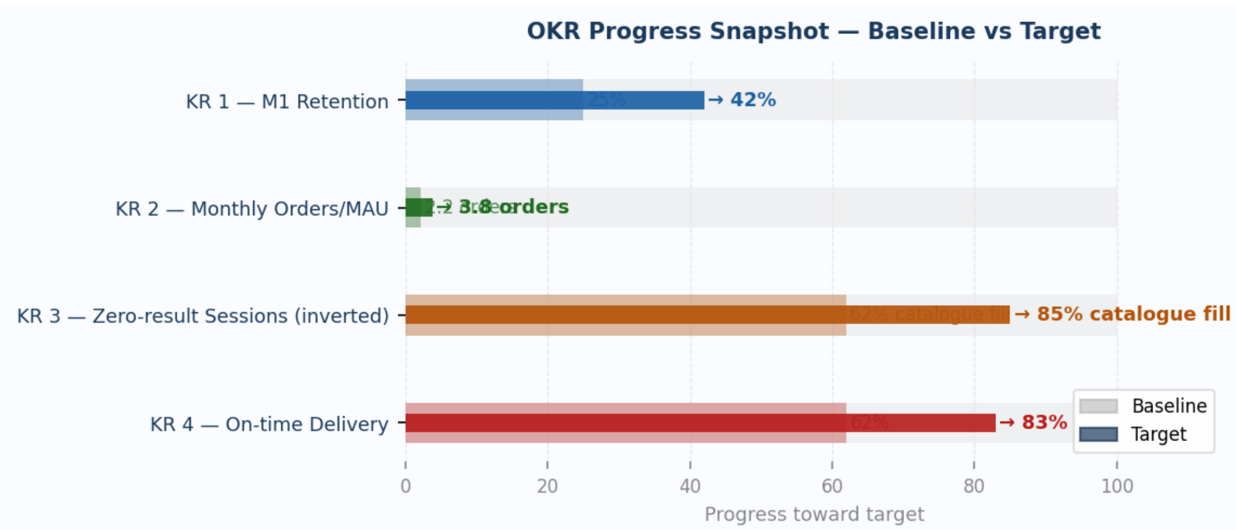
Input Metrics	% active delivery partners enrolled · Avg deliveries/partner/day · Partner app engagement (leaderboard views, bonus notifications)
Output Metrics	On-time delivery rate by city · Partner cancellation rate post-assignment · Avg partner rating score
North Star	Post-delivery NPS / DSAT Score in Tier-3

4.2 Tier-3 Specific ETA Prediction Model

Retrain ETA model on Tier-3 signals: narrow roads, no Google Maps traffic data, monsoon disruptions, non-linear last-mile routes. Metro models systematically under-predict.

Input Metrics	Model training data coverage · MAPE on Tier-3 vs metro baseline · % cities on dedicated model vs metro fallback
Output Metrics	ETA accuracy (% delivered ±10 min) · Customer complaint rate citing late delivery · ETA-to-actual variance
North Star	Post-delivery NPS / DSAT Score in Tier-3

OKR Progress Snapshot — Baseline vs Target



Sequencing Note

KR3 (catalogue) and KR4 (reliability) are structural enablers of KR1 and KR2. Recommended: Q1 = KR3 + KR4 foundation; Q2 onwards = KR1 + KR2 engagement mechanics.

SECTION 02 Funnel Analysis — Discovery to Delivery

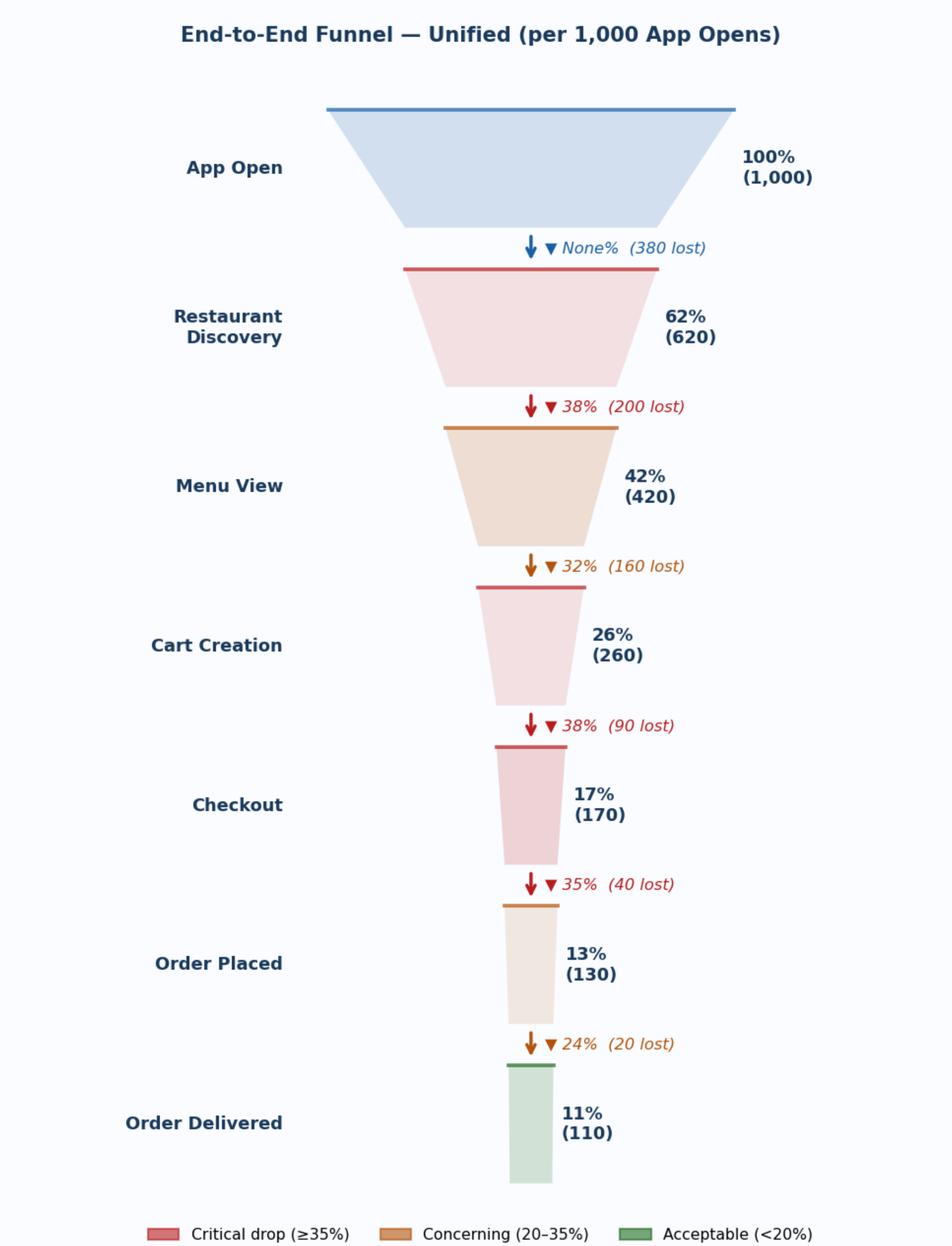
Benchmark Methodology

All conversion rates are estimated from first principles calibrated to Indian Tier-3 Android market context. Per 1,000 app opens. Platform: Android only (dominant Tier-3 device). Cohorts: All Users · New Users · Returning Users.

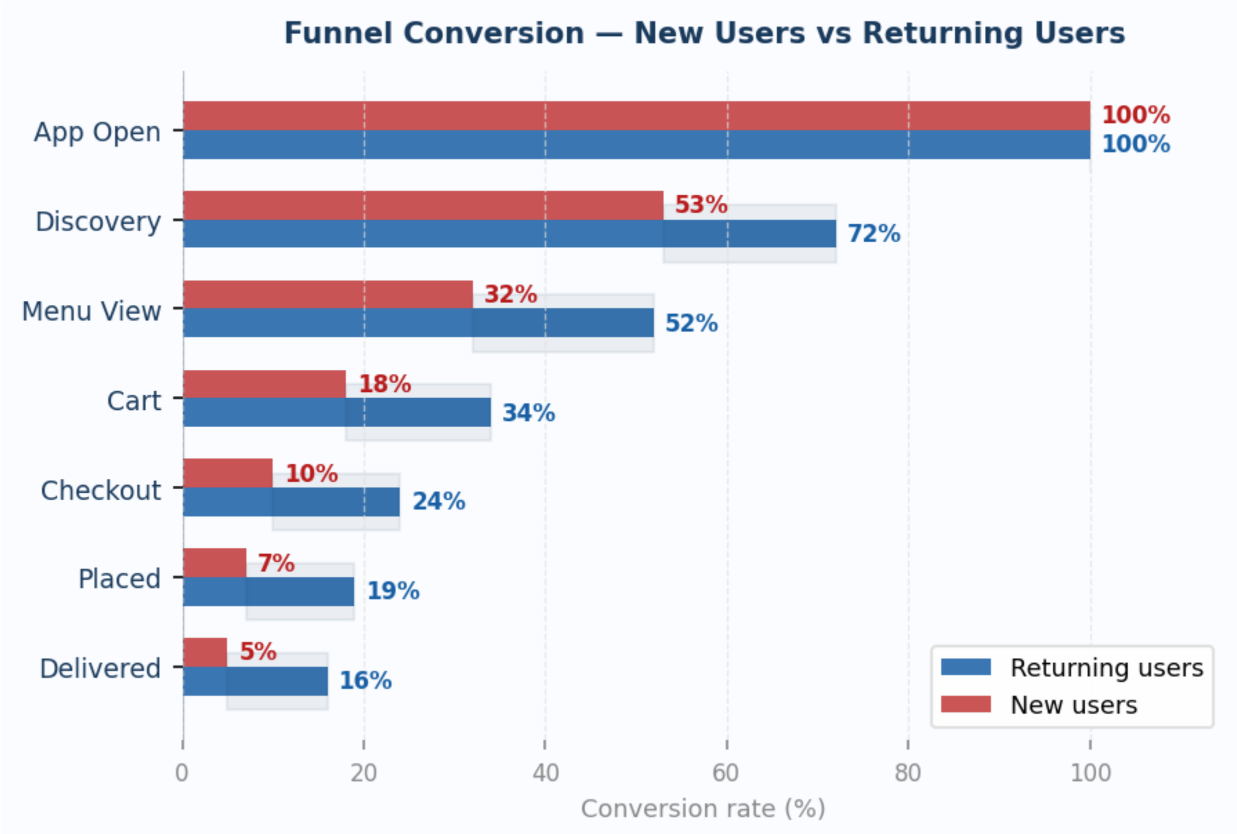
End-to-End Conversion Summary

Cohort	End-to-End Rate	Per 1,000 Opens → Delivered
All Users (Unified)	11%	1,000 → 110 delivered
New Users	5%	1,000 → 50 delivered
Returning Users	16%	1,000 → 160 delivered

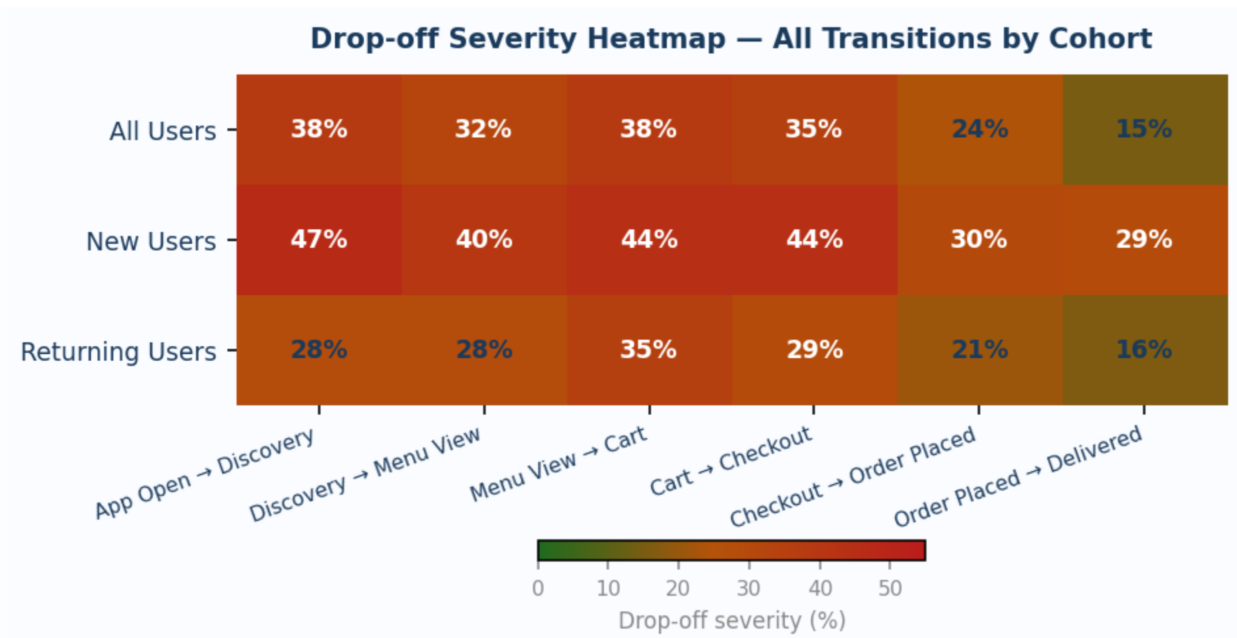
Funnel Visualisation — Unified (All Users)



Funnel Conversion — New Users vs Returning Users



Drop-off Severity Heatmap — All Transitions by Cohort



Stage-by-Stage Root Causes & Hypotheses

App Open → Restaurant Discovery **All −38% · New −47% · Ret −28%**	**Root cause:** *Slow 2G/3G load, generic homepage with no local restaurant catalogue on cold start.* **Hypothesis:** If we serve pre-cached local restaurant tiles with offline-first skeleton loading optimised for 2G/3G, discovery page bounce falls from 38% to under 22%.
Restaurant Discovery → Menu View **All −32% · New −40% · Ret −28%**	**Root cause:** *Thin catalogue, no local brand recognition, cuisine suggestions irrelevant to Tier-3 tastes.* **Hypothesis:** If we surface a "Most Ordered in [City]" social proof shelf above the restaurant grid, discovery-to-menu-view conversion improves by 14 percentage points.
Menu View → Cart Creation **All −38% · New −44% · Ret −35%**	**Root cause:** *Price shock at item level, no affordable combo options, absence of trust signals or reviews.* **Hypothesis:** If we pin a ₹79–149 Value Combo section at the top of every menu with photo-first presentation, menu-to-cart conversion improves by at least 20%.
Cart Creation → Checkout **All −35% · New −44% · Ret −29%**	**Root cause:** *Delivery fee visible for the first time at cart; address entry on Android keyboard is high friction with poor GPS in Tier-3 towns.* **Hypothesis:** If we display the estimated delivery fee on the menu page before cart creation, cart-to-checkout drop falls by 18 percentage points.
Checkout → Order Placed **All −24% · New −30% · Ret −21%**	**Root cause:** *UPI/card payment failure on 2G/3G, OTP friction on poor signal, COD option buried in payment list.* **Hypothesis:** If we make COD the default first payment option in Tier-3 checkout with a one-tap confirm CTA, checkout-to-order conversion increases by 22%.
Order Placed → Order Delivered **All −15% · New −29% · Ret −16%**	**Root cause:** *Restaurant cancellations, delivery partner unavailability in thin markets, new user address validation failures.* **Hypothesis:** If we send a "Delivery partner confirmed" push notification within 3 minutes of order placement, order-to-delivery dropout falls by 30%.

Key Diagnostic Takeaways

Where the volume is really lost

Three largest drops — Discovery (−38%), Menu View (−38%), Cart Creation (−35%) — all occur in the pre-order upper funnel. Zomato is losing most users before they ever see a checkout screen. The conversion problem is a discovery and trust problem, not a payment or logistics problem.

New user cliff vs returning user slope

New users lose 29% between Order Placed and Order Delivered — nearly double the returning rate of 16%. Primary cause: GPS-based address validation failures vs thin delivery partner supply for returning users in off-peak hours. Different mechanisms require different fixes.

Returning users convert at 3× the rate of new users

End-to-end: New = 5%, Returning = 16%. The 3× gap confirms a first-impression and habit-formation problem, not a product quality failure. Fix new user onboarding and the overall funnel nearly triples.

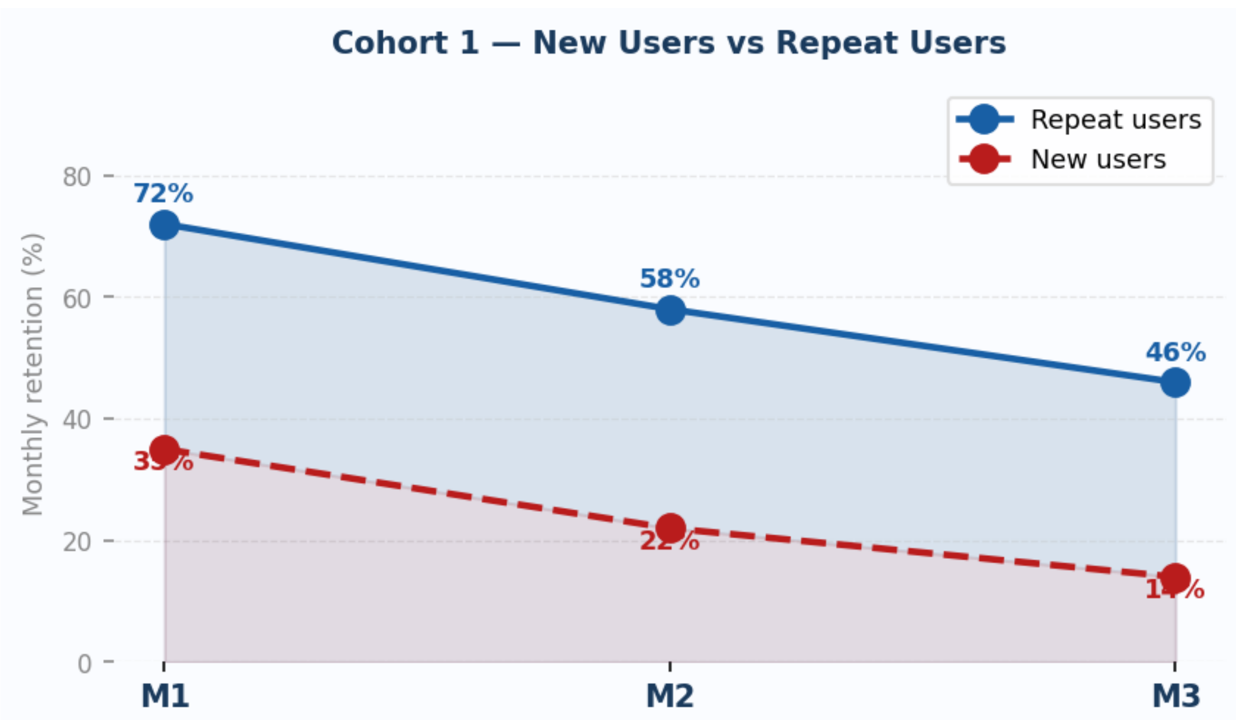
SECTION 03 Cohort Retention Analysis — Who Churns and Why

Benchmark Definitions

Dimension	Definition	Rationale
Retention	≥1 order placed in the calendar month (Monthly Active)	Captures genuine engagement — not just app opens or sessions
Time Window	M1, M2, M3 post-acquisition (3-month rolling)	Shows the curve shape — cliff vs gradual decay — aligning with quarterly OKR reviews
High Frequency	3+ orders per month	3/month = ordering weekly = genuinely habitual in Tier-3 context (vs metro where high = 8+/month)
Low Frequency	1–2 orders per month	Occasional / treat-driven — each order is a fresh decision, not a habit
Discount-driven	≥70% of orders placed with coupon, promo, or offer	At 70%, ordering behaviour is structurally tied to discounts. Est. ~55% of Tier-3 users
Full-price	<30% of orders used any discount or promo	Higher-intent users — price insensitive, experience sensitive

COHORT 1 New Users vs Repeat Users

Retention Curves — M1, M2, M3



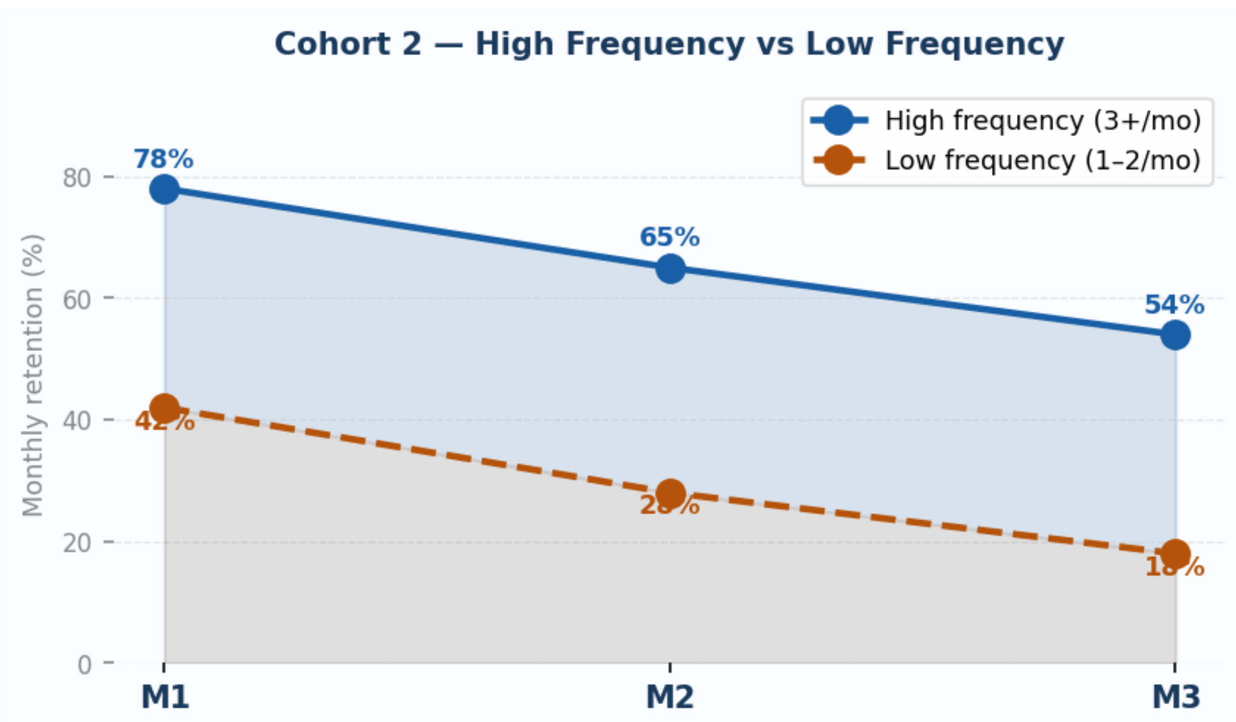
Drop Reasons & Hypotheses

Repeat Users **Critical drop at M2: 72% → 58%**	**Why they drop:** *A bad delivery experience — late arrival, wrong order — with no proactive recovery silently breaks the ordering routine. When a preferred restaurant becomes unavailable, there is no platform nudge to offer an alternative.* **If we do X → expect Y:** If we proactively issue a ₹30 credit within 1 hour of any late delivery — without waiting for a complaint — we expect repeat user M2 retention to improve from 58% to 68%.

New Users **Critical drop at M1: only 35% return**	**Why they drop:** *Post-delivery experience is cold — no personalised follow-up, no emotional hook. High price sensitivity means the value vs cost equation does not resolve without a well-timed nudge in the critical 48-hour window.* **If we do X → expect Y:** If we send a personalised re-engagement offer within 48 hours of first successful delivery — matched to the exact cuisine they ordered — we expect new user M1 retention to improve from 35% to 48%.

COHORT 2 High Frequency vs Low Frequency Users

Retention Curves — M1, M2, M3



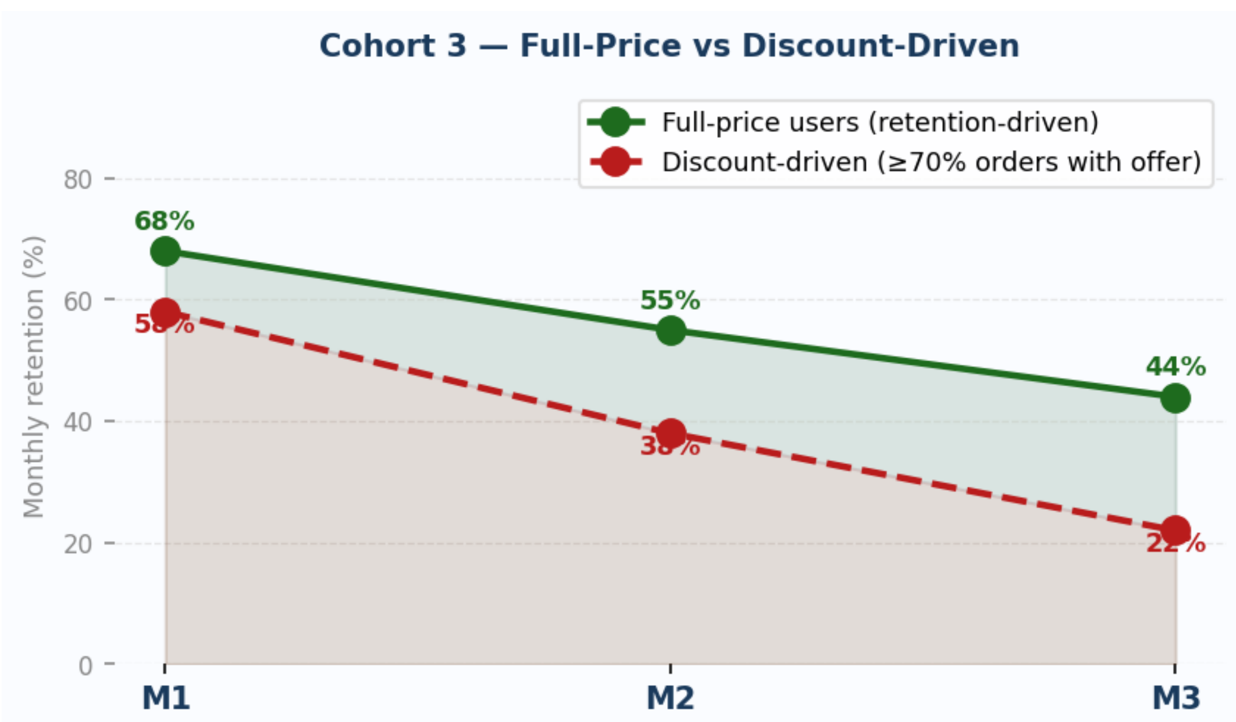
Drop Reasons & Hypotheses

High Frequency (3+/mo) **Drop at M3: 65% → 54%**	**Why they drop:** *Even power users churn when their go-to restaurant closes or changes quality, platform fees increase suddenly, or a life event — travel, festival, guests — breaks the weekly routine with no re-entry trigger.* **If we do X → expect Y:** If we offer high-frequency users a "Zomato Daily" subscription at ₹149/month with free delivery on all orders, M3 retention improves from 54% to 68% by converting discrete decisions into a committed recurring plan.

Low Frequency (1–2/mo) **Steep cliff at M2: 42% → 28%**	**Why they drop:** *Each order is a fresh decision rather than an automatic habit. Without a contextual trigger — occasion, fatigue, bad weather — these users default to home cooking. No reminder reaches them at the right moment.* **If we do X → expect Y:** If we send a weekly "₹30 off this weekend only" occasion-based nudge to users who have not ordered in 10+ days, we expect low-frequency M2 retention to improve from 28% to 38%.

COHORT 3 Discount-Driven vs Full-Price Users

Retention Curves — M1, M2, M3

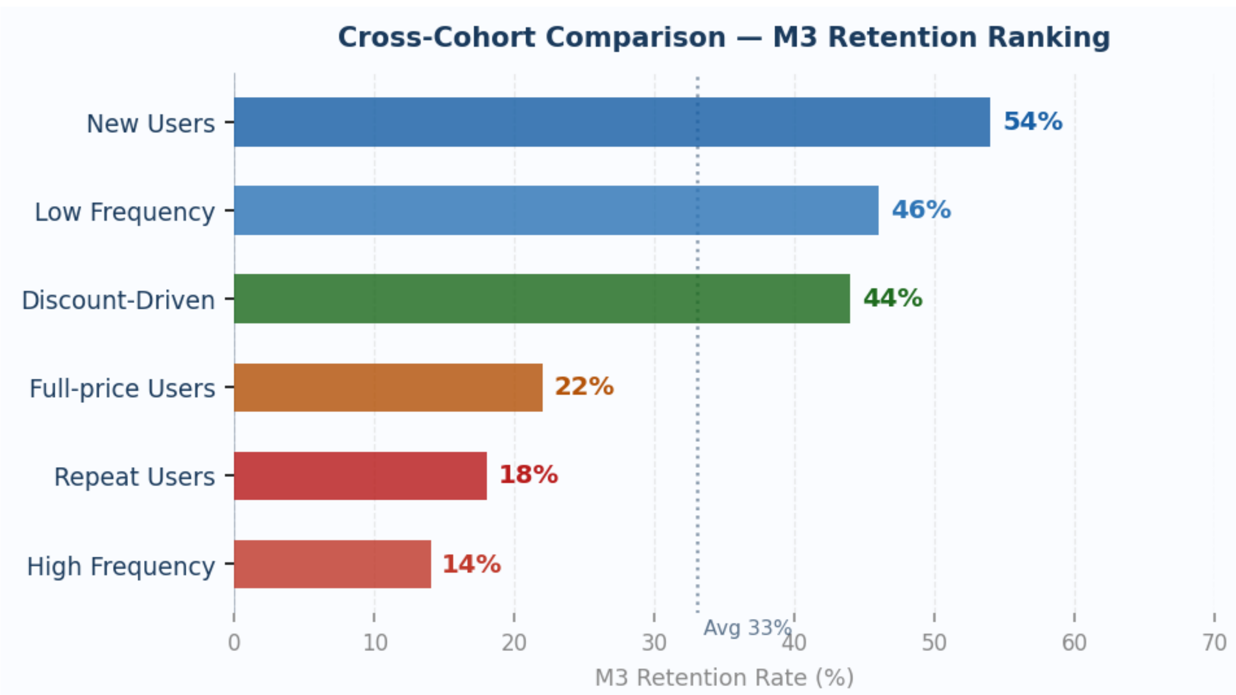


Drop Reasons & Hypotheses

Full-price Users **Steady decay: 68% → 44% (−35% relative)**	**Why they drop:** *Full-price users are experience-sensitive, not price-sensitive. They churn when delivery quality declines — late, wrong orders — or when restaurant supply feels stale, with the same options every week and nothing new.* **If we do X → expect Y:** If we send a "Your favourites, refreshed" weekly notification highlighting 2–3 new restaurants in the user's preferred cuisine, M3 retention improves from 44% to 54%.

Discount-Driven Users **Cliff at M2→M3: 38% → 22% (−62% relative decay)**	**Why they drop:** *Ordering behaviour is structurally tied to the offer, not to food delivery habit. When discounts thin out or a competitor offers a better deal, these users switch platforms entirely — switching cost is zero and brand loyalty is minimal.* **If we do X → expect Y:** If we shift discount-driven users from flat discounts to a loyalty cashback structure — ₹30 back on next order — M3 retention improves from 22% to 34% by creating a forward-looking incentive that anchors them to the next order.

CROSS-COHORT | **M3 Retention Ranking — All Cohorts**



Strategic Insight — The Discount Cliff

Discount-driven users start with reasonable M1 retention (58%) but collapse to 22% by M3 — a 62% decay. Full-price users decay only 35% over the same window (68% → 44%). Discounts are buying 60-day activity, not building habit. The highest-leverage shift: migrate discount-driven users to a cashback or loyalty structure before M2, when ordering momentum still exists but before the cliff hits.

Strategic Insight — Frequency is the Leading Retention Indicator

High-frequency users retain at 3.9× the rate of new users at M3 (54% vs 14%). Every product initiative that nudges a user from 1 order/month to 3 orders/month is a retention multiplier — not just a frequency gain. The Meal Pass (Initiative 2.1) and occasion-based nudges (Initiative 2.3) are the bridge initiatives that convert low-frequency users into the high-frequency cohort.

Strategic Insight — New User Retention at 14% Makes Acquisition Unsustainable

Unless M1 retention improves, Zomato must acquire roughly 7 new users to retain 1 at month 3. Fixing the 48-hour post-delivery re-engagement window (Initiative 1.2) is the single highest-ROI intervention in the entire framework — it costs almost nothing and operates at the moment of maximum user intent.